

Tanger Pays \$60M for Ohio Town Center as Open-Air Retail Consolidation Accelerates in May 2026

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On May 28, 2026, Tanger closed on a \$60 million acquisition of The Town Center at Levis Comm...

\$60 m

Key Metric

\$200

Market Data

The seller: Hill Partners, the Charlotte-based developer that had owned and managed the property since its 2004 opening.

\$3.5 b

Market Data

On May 28, 2026, Tanger closed on a \$60 million acquisition of The Town Center at Levis Commons, a 300,000-square-foot mixed-use development in Perrysburg, Ohio. The seller: Hill Partners, the Charlotte-based developer that had owned and managed the property since its 2004 opening.

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Light Tower Group Analysis

The price works out to \$200 per square foot for a center that includes 60-plus retailers, a Cinemark theater, and 69,000 square feet of office space. Tenants include Sephora, Shake Shack, Anthropologie, lululemon, J. Crew Factory, Athleta, and Arhaus. Tanger is a publicly traded REIT with a market cap of approximately \$3.5 billion. The company has been repositioning its portfolio toward higher-quality open-air assets, shedding lower-tier enclosed malls and adding lifestyle and mixed-use properties.

"The transaction reflects a broader trend: institutional capital rotating into dominant open-air retail assets while exiting Class B and C malls."



NEXT

This acquisition fits that strategy.

Policy

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Levis Commons is the retail anchor of a 400-acre master-planned community, J.

This acquisition fits that strategy. Levis Commons is the retail anchor of a 400-acre master-planned community, J. Preston Levis Commons, giving it a built-in demographic base of affluent households in the Toledo suburbs.

\$200

Market Data

\$350 t

Market Data

\$450

Market Data

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The \$200 per square foot price is below replacement cost for similar mixed-use product in the Midwest. Construction costs for comparable centers now run \$350 to \$450 per square foot, per recent data from Rider Levett Bucknall. Hill Partners had owned the asset for 22 years. The firm developed the project from raw land, leasing it up through multiple cycles. Selling now captures a premium relative to pre-pandemic valuations while avoiding the capital expenditure required for aging infrastructure and tenant improvements.

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**For Tanger, the deal adds a stabilized cash-flowing asset with
a weighted average lease term...**

Policy

For Tanger, the deal adds a stabilized cash-flowing asset with a weighted average lease term...

12.4%

Market Data

The office component provides additional income diversification, though office vacancy in the Toledo MSA has risen to 12.4% per CBRE data.

For Tanger, the deal adds a stabilized cash-flowing asset with a weighted average lease term of approximately 5.5 years, based on typical lease structures in similar centers. The office component provides additional income diversification, though office vacancy in the Toledo MSA has risen to 12.4% per CBRE data.

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The transaction reflects a broader trend: institutional capital rotating into dominant open-air retail assets while exiting Class B and C malls. REITs like Tanger, Simon Property Group, and Kimco Realty have been net buyers of high-quality outdoor centers since 2023. Private capital, particularly family offices and regional developers, has been the primary seller. Hill Partners fits that profile. The firm is not a public REIT and faces no quarterly earnings pressure, but the decision to sell now suggests a view that retail cap rates have compressed to near-cycle lows.

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Debt & Equity

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Cap rates for top-tier open-air centers in the Midwest have tightened to 6.5% to 7.0%, per Real Capital Analytics. At a \$60 million price and estimated net operating income of \$4.2 million, Levis Commons trades at a 7.0% cap rate, in line with that range.

\$60 m

Market Data

\$4.2 m

Market Data

\$150 m

Market Data

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The deal also signals that debt markets are open for high-quality retail acquisitions. Tanger likely financed the purchase with a combination of cash on hand and a new secured loan. The company had \$150 million in liquidity as of its most recent quarterly filing. What this means for the broader market: consolidation is accelerating. The number of institutional-grade open-air centers is finite, and the spread between top-quartile and bottom-quartile assets continues to widen. Tanger is betting that Levis Commons will outperform as weaker centers lose tenants and foot traffic.

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NEXT

That bet depends on the health of the Toledo economy.

Policy

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\$105,000,

Market Data

\$60 m

Market Data

Perrysburg has a median household income of \$105,000, well above the national average, and the center benefits from its position as the primary retail destination for the...

23%

Market Data

That bet depends on the health of the Toledo economy. Perrysburg has a median household income of \$105,000, well above the national average, and the center benefits from its position as the primary retail destination for the region's western suburbs.

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But the office component introduces risk. If office tenants downsize or vacate, Tanger may need to invest in conversion or re-tenanting. The 69,000 square feet of office space represents 23% of the total square footage, a meaningful exposure. Hill Partners walked away with \$60 million and a 22-year track record. Tanger gets a stabilized asset at a below-replacement-cost basis. The question now is whether the next wave of sellers will be as willing to transact at current cap rates, or whether the bid-ask spread widens as rate expectations shift.

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ABOUT

Benjamin Rohr is the Principal of Light Tower Group, a New York-based institutional capital advisory firm specializing in debt and equity placement for complex commercial real estate transactions.

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